

1.

c

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**2.**

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction	• meaning of environmental market failure) • examples of supply-side policies • reasons why landfill exemplifies market failure, eg missing markets for recycled products, negative externalities, local / national decisions favouring landfill over its alternatives
Developing the response to the question	• general policies, e.g: ◦ market-based policies ◦ command-and-control policies • specific methods / strategies, eg reduction, re-use, recovery, recycling, disposal (alternative methods of, eg landfill, incineration) • specific policies (some but not all mentioned in the data) aimed at supporting these methods / strategies, eg: ◦ landfill tax (polluter pays / market based) ◦ fines for dumping (command-and-control) ◦ subsidies for favoured recycling schemes ◦ targets for re-cycling ◦ subsidies / carrot and stick approaches • the alternative of non-intervention / allowing markets to work (the extract mentions market forces and price signals in scrap metals and suggests that a market for 'mined' recyclables from landfill could emerge in due course).
Evaluation	• comment on scarce / finite resources and the possibility of re-cycling in the case of metals, so that they become, in a sense, 'renewable' • role of government / legal sanctions • market failure versus government failure • the need for international / global action • pros and cons of particular policies, eg composting, incineration. Examiners should note that it may be possible to award some marks for basic evaluation such as consideration of a number of pros and cons. However, this must be considered as low-level evaluation and rewarded accordingly. Stronger evaluation would prioritise the arguments for and against, and / or give economic reasons for justifying a particular course of action.

Also give credit for:

- relevant use of evidence and examples not contained in the data
- diagrams
- an overall judgement on the issues raised

[25]

3.

For candidates who:

Explain 'public ownership', eg:

- in terms of a business or organisation that is owned by the state / taxpayer / the community.
- and might take the form of eg a nationalised industry, government department, majority shareholding, public corporation, public / private partnership.
- examples: BBC, Royal Mail, etc.

Analyse **two** reasons, in terms of airline or another appropriate example, eg:

- airlines tend to be monopolistic and could therefore exploit monopoly power with lower output and raised prices and public ownership is one way of dealing with monopoly.
- air travel underpins other aspects of a modern economy (transport, aerospace etc) and is therefore too important for strategic economic reasons to be left to the private sector
- 'commanding heights arguments' or their modern variant : 'too big to fail'
- airlines are 'flag carriers' and important businesses in terms of national prestige / image building; they support a great deal of employment, both directly and indirectly.
- aircraft pass over sovereign territories so there are issues of international coordination and security matters, and these are better dealt with by government than by the private sector
- efficiency, including allocative, productive, dynamic.

Make use of a suitable diagram in the analysis

[9]

4.

B

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**6.**

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction:	• an explanation of the problems in terms of MSC / MSB analysis • a clean environment as a public good • environment can be damaged by market forces (ozone layer, coal tips) • environment can be protected by market forces (property rights / the 'tragedy of the commons') • polluting activities and demerit goods.
Developing a response to the question:	• What markets can do alone, eg ◦ Treat a clean environment as a scarce resource ◦ Supply and demand, price incentives ◦ Assertion of property rights • How markets can be 'nudged' by government, eg ◦ Carbon trading / pollution permits ◦ Road pricing ◦ Taxation (the polluter pays) ◦ Creation of property rights where they do not exist ◦ Creation / assertion of communal / societal rights (eg a right to clean air) • How markets can be 'nudged' by government, eg ◦ Command and control methods ◦ Bans and regulations • command and control versus market based policies
Evaluation:	• market failure and government failure • equity implications of reliance on markets (eg costs and benefits might accrue to different people / groups / countries).
Also give credit for:	• reference to the UK and / or other economies • diagrams

[25]**7.**

A

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8.

For a relevant definition / description of property rights, e.g. a legally recognised right of ownership over a resource; or a definition of market failure.

For explaining how property rights can be lacking, e.g. on common land, on the high seas, in the atmosphere.

Pollution is an example of a negative externality. One failure is the pollution of a communal resource such as a piece of land, a lake or the atmosphere for any one example). Fresh air is a resource essential to life however the atmosphere can also be polluted by human activity. Because nobody owns the atmosphere the costs of pollution are external to the polluter and it is possible for an economic agent to pass these costs on to the wider community.

Another failure is the **depletion** of a communal resource, e.g. water reserves, fish stocks, wildlife, open spaces, and property rights incentivise conservation.

Make appropriate use of diagrams, e.g. an externality diagram.

[9]



9.

Issues and areas for discussion include:

Introduction	• Description of 'market forces' in housing • Tenures • Subsidies • Intervention methods.
Developing the response to the question: (Application)	• Comments from own economic knowledge or based on the data, e.g. ◦ Supply and demand theory ◦ Relationship between new houses (the flow) and existing houses (the stock). The flow is small in relation to the stock; therefore, house building has little immediate effect on prices. ◦ Data hints that the distinction between social and private housing is muddled (Extract E). Students might mention the bedroom tax (as a 'withdrawal of subsidy') in a relevant way • Further discussion of Extract D, e.g. ◦ Rise in homes owned outright, with fall in mortgages, indicates possible validity of the quote about Germany ◦ Fall in social housing, together with fall in mortgages and rise in private renting indicates right to buy has led to a rentier class rather than a nation of individual owner occupiers. • Tenure and types of housing, Extract E • Houses and equality, Extract F.
Developing the response to the question: (Analysis)	• Basic reasons why governments of developed countries are involved in provision of housing. • Arguments for intervention, e.g. ◦ market failure ◦ externalities ◦ need for price stabilisation ◦ imperfect information ◦ mobility of labour ◦ income and wealth distribution. • Arguments against, e.g. ◦ rationing/signaling ◦ consumer choice ◦ opportunity costs (pressure on government budgets) ◦ efficiency ◦ problems with government failure, e.g. poor town and country planning.

Evaluation	• Market failure versus government failure • Consequences of government involvement (e.g. costs to the taxpayer) versus consequences of non-involvement (e.g. costs to the consumer and to society) • Unintended consequences (e.g. Help to Buy being used by private landlords rather than first time buyers) • Discussion of the clear distinction between the flow of newly built houses and the stock of existing houses • Alternatives to house building/'predict and provide', the argument that supply of houses creates its own demand; alternatives (e.g. town centre living) • Critical assessment of the movement from council houses towards private renting, and from directly subsidised rents to the use of housing benefits. <i>Examiners should note that, for some of the weaker or average candidates, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• Diagrams • An overall judgement on the issues raised.

It will only be possible for candidates to consider a few of the above. They may also discuss issues not discussed above

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10.

B

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**12.****Issues and areas for discussion include:**

Introduction	• Meaning of market failure • Reasons for and examples of market failure, eg ◦ distinction between public and merit goods ◦ positive and negative externalities ◦ public goods, merit goods • Reasons for and examples of government failure.
Developing the response to the question Application/ Analysis	• Policy options for public/merit goods ◦ taxation (the ability to pay principle) ◦ charging (the beneficial principle) ◦ subsidies ◦ direct government provision ◦ public/private partnerships • Opportunity cost • Efficiency arguments • Rationale for govt. intervention in providing MSC = MSB, therefore providing a socially optimum level • Consequences of policy options, eg ◦ consumer welfare and producer surplus ◦ national/international competitiveness ◦ prices, employment • Reasons for and examples of government failure • Discussion specific to the local TV station example
Evaluation	• effectiveness of different types of policy • intended and unintended consequences • the option of allowing market forces to work without government intervention (in the local TV case, challenging the apparent view of the minister that there is a 'missing market'); consumer sovereignty arguments) • problems of determining social optimum • market vs govt failure. <i>Examiners should note that, for some of the weaker or average students, parts of the above represent quite sophisticated evaluation and so it is important to ensure that more basic evaluation is adequately rewarded where a genuine effort has been made to display that skill.</i>
Also give credit for	• diagrams • an overall judgement on the issues raised • examples.

It will only be possible for students to consider a few of the above. They may also discuss issues not discussed above.

[25]**13.****C****[1]**

**14.****Relevant issues/logical chains of analysis include:**

- defining/distinguishing between price elasticity (responsiveness of the quantity demanded to a change in price) and income elasticity of demand (responsiveness of quantity demanded to a change in income)
- (PED) The link between the consumer and price is broken by insurance and the purchasing decision is now taken by the insurance company or by the state or its agent (eg the GP). The patient will want life-saving treatment whatever the price. However some people are not members of insurance schemes or might not qualify for state provision
- assymetric information; unpredictability of medical need
- universal state provision replaces price rationing with the queue (or waiting list) insurance enables people to jump the queue
- (YED) Higher incomes make insurance more affordable
- arguable that people on higher incomes will be more aware of treatments available
- possibility of unnecessary treatments and procedures, e.g. cosmetic surgery for vanity reasons
- meaning of high/low/price/income elasticity
- appropriate use of diagrams, e.g. demand curves related to PED and YED

[10]**16.****Relevant issues/logical chains of analysis include:**

- relevant explanation of market failure, e.g. in terms of markets failing to achieve socially optimum price or output
- there is a lack of consumer information . Consumers do not know when they are likely to need a pension. They might have a high rate of time preference, i.e. prefer current consumption to saving for future consumption, because pensionable age seems a long way off
- assymetric information between consumers and pension providers (mis-selling of inappropriate pension products)
- strong externalities give pensions some characteristics of merit goods; there is an argument that they are more efficiently provided by the state
- inability of insurance-based pension providers to produce results in adverse economic conditions; e.g. falling pension fund returns due to low interest rates
- failure of occupational pension schemes due to weak regulation, the raiding of pension funds by directors during hard times
- appropriate use of diagrams, e.g. marginal private benefit, marginal social benefit

[9]**17.**

D

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Explanation:

For defining/describing externality, e.g. an external effect of production or consumption that spills over into a neighbourhood or community; they can be positive, a benefit, or negative, a cost.

Analysis of positive and negative externalities**For Example**

- Positive: good housing gives benefits to the householder in terms of quality of life, but also improves the neighbourhood, and so benefits people other than the householder; if one person improves their house, then its market value will rise; but the neighbourhood's general prices might also increase.
- Positive: Building houses on derelict land improves a whole district
- Negative: bad housing leads to poor health, crime, social disorder, strain on NHS
- Negative: building in the countryside on greenfield sites reduces amenity for others.
- Reward some reference to how government might provide good housing e.g. subsidies, social housing.

Make appropriate use of diagrams, eg MPC, MSC, MPB, MSB